Financial Advisor RAG Master Knowledge Base

Single consolidated document containing concepts, examples and Q&A; pairs optimized for Pinecone RAG.

1. Financial Planning

Financial planning helps individuals manage investments, insurance, taxes, emergency funds and retirement goals.

2. Risk Profiling

Investors can be categorized as Low, Moderate or High Risk based on risk tolerance and investment horizon.

3. Asset Allocation

Asset allocation distributes investments across Equity, Debt and Gold to balance risk and return.

4. Equity Investing

Equity investing provides ownership in companies and supports long-term wealth creation.

5. Mutual Funds

Mutual funds pool investor money and are managed by professional fund managers.

6. Large Cap, Mid Cap and Small Cap Funds

Large Caps focus on stability, Mid Caps on growth and Small Caps on aggressive growth.

7. Flexi Cap Funds

Flexi Cap Funds invest across market capitalizations and provide diversification.

8. Index Funds vs ETFs

Index Funds support SIP investing while ETFs trade on stock exchanges.

9. Debt Funds

Debt funds invest in bonds and fixed-income securities and provide stability.

10. Gold Investing

Gold acts as a diversification tool and inflation hedge.

11. SIP and Compounding

SIPs promote disciplined investing and long-term compounding.

12. Tax Planning

Tax-saving options include ELSS, PPF, NPS and eligible LIC premiums.

13. Insurance and LIC

Insurance provides financial protection and some products may offer tax benefits.

14. Emergency Fund

Maintain emergency savings to handle unexpected expenses.

15. Retirement Planning

Retirement planning focuses on building a sustainable corpus for future expenses.

Practical Advisory Examples

Age 30, High Risk, Retirement Goal, 25-Year Horizon -> Equity 80%, Debt 10%, Gold 10%.

Age 45, Moderate Risk, Education Goal, 10-Year Horizon -> Equity 60%, Debt 30%, Gold 10%.

Age 55, Low Risk, Retirement Goal, 5-Year Horizon -> Equity 30%, Debt 60%, Gold 10%.

Gold ETF Recommendation -> Gold may reduce overall portfolio volatility through diversification.

Large Cap Recommendation -> Large Cap funds are generally more stable than Mid and Small Cap funds.

Frequently Asked Questions (RAG Optimized)

Q: What is SIP?

A: SIP allows investors to invest fixed amounts regularly into mutual funds.

Q: Why invest through SIP?

A: SIPs encourage discipline and reduce market timing risk.

Q: What is a Mutual Fund?

A: A mutual fund pools money from multiple investors.

Q: What is a Large Cap Fund?

A: Large Cap Funds invest in large established companies.

Q: What is a Mid Cap Fund?

A: Mid Cap Funds invest in medium-sized companies with growth potential.

Q: What is a Small Cap Fund?

A: Small Cap Funds invest in smaller companies and carry higher risk.

Q: What is a Flexi Cap Fund?

A: A Flexi Cap Fund invests across large, mid and small-cap companies.

Q: What is an ETF?

A: An ETF is an exchange traded fund that trades like a stock.

Q: Mutual Fund or ETF?

A: Mutual funds are convenient for SIPs while ETFs often have lower expenses.

Q: What is Asset Allocation?

A: Asset allocation distributes investments across Equity, Debt and Gold.

Q: Why am I allocated 80% Equity?

A: High-risk investors with long horizons may receive higher equity allocations.

Q: Why is Debt allocated?

A: Debt investments provide stability and lower volatility.

Q: Why is Gold ETF recommended?

A: Gold provides diversification and may reduce portfolio risk.

Q: What is ELSS?

A: ELSS is a tax-saving mutual fund eligible under Section 80C.

Q: ELSS or PPF?

A: ELSS offers market-linked growth while PPF focuses on capital preservation.

Q: How does LIC help save tax?

A: Eligible LIC premiums may qualify under Section 80C.

Q: What is NPS?

A: NPS is a retirement-focused investment scheme.

Q: How much emergency fund should I keep?

A: Typically six months of expenses for salaried individuals.

Q: Why is diversification important?

A: Diversification spreads risk across investments.

Q: How should I plan for retirement?

A: Use long-term investing and suitable asset allocation to build a corpus.

Q: What is compounding?

A: Compounding allows returns to generate additional returns over time.

Q: Should young investors invest more in equity?

A: Young investors with long horizons often benefit from higher equity exposure.

Q: When should I reduce equity allocation?

A: As goals approach or risk tolerance decreases.

Q: What are Debt Funds?

A: Debt funds invest in fixed-income instruments.

Q: Why review my portfolio annually?

A: To ensure alignment with goals and risk appetite.